

It's All about Attitude

Budget. For some, the word conjures up images of sacrifice, penny-pinching, and doing without. At least 50 percent of budgeting is mental, so if the word makes you shudder, work on replacing this negative image with a positive one. If you've failed at budgeting in the past, ask yourself whether your budget was simply a review of how you spent your money after it was already gone, rather than a plan for spending and saving. The former is ineffective and frustrating. The latter is freeing and rewarding.

Why Budget?

A budget is really a spending plan. You may struggle with an unrealistic plan to save thousands of dollars when what you really need to do is spend more wisely. Creating a spending plan is the first and most basic step you can take toward putting your money to work for you.

Many people who spend more money than they make don't even realize they're spending too much until they're deeply in debt. Credit cards and loans are often the culprit, but spending without knowing how much money you have available can create the same problem. Decide in advance how to put your money to use instead of letting it happen accidentally. When you spend without a spending plan, you're not in control of your money; your money is in control of you.

The Benefits of Budgeting

Budgeting and tracking your expenses show you where your money goes and how seemingly inconsequential daily or weekly expenditures can add up over time. By tracking all of your expenditures, you can make conscious decisions about how to spend or invest your money instead of dribbling it away a dollar or two at a time. This can be the difference between never having enough money and being able to afford the things that are really important to you, such as saving for a down payment on a house, buying a